Article | 20 July 2026
COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions

A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

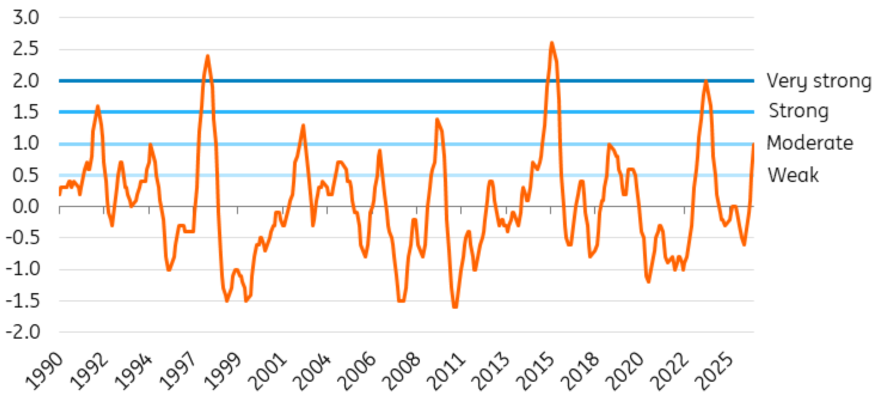
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as recent developments highlight, this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

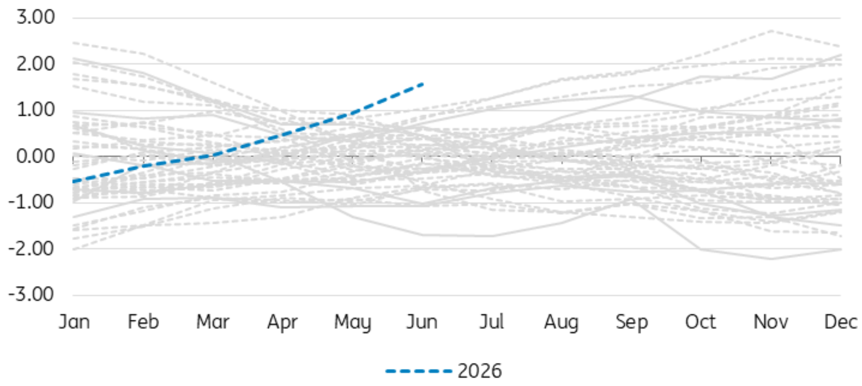


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, including soybeans. Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been fairly limited. Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20-30 years, and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

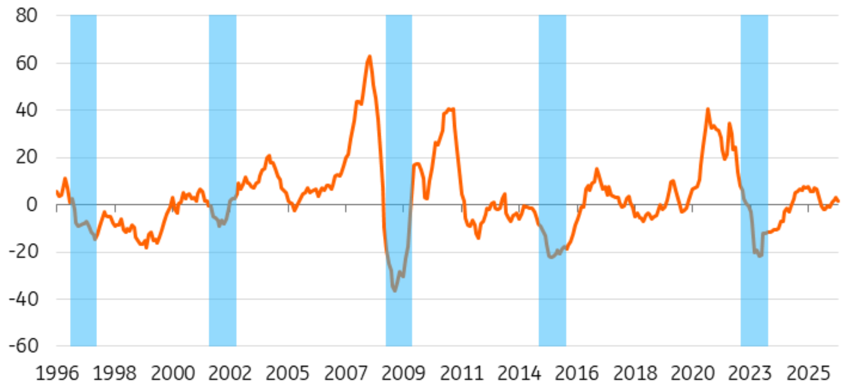
The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven by factors other than El Niño, including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The Asia-Pacific region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's heavily concentrated in Asia and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to a more than 75% year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

…meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

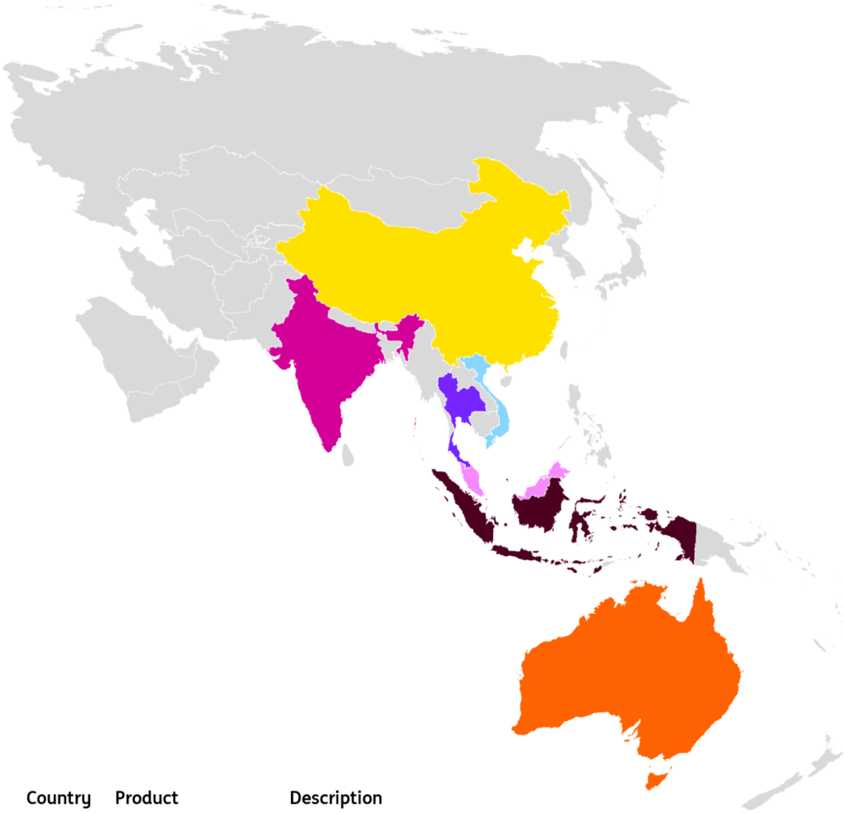
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of capacity in the Panama Canal.
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including AMIS crop monitor, Abares crop report) and weather patterns (like Indian monsoon rainfall). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in El Niño area
- Anchovy landings in Peruvian ports
- Water reservoir levels (for example in India, Thailand)
- Water levels in the Mekong river at Kratie in Cambodia
- Forest fires in Indonesia

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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UNITED KINGDOM

How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election

The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

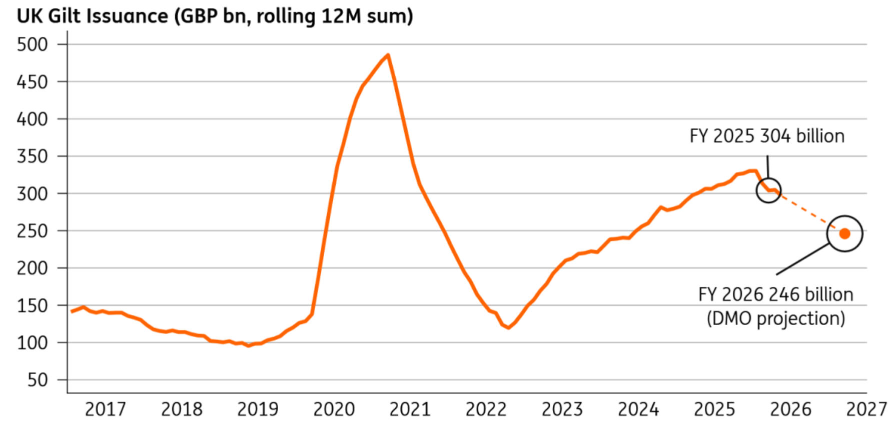
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

UK borrowing is set to fall sharply this year



Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

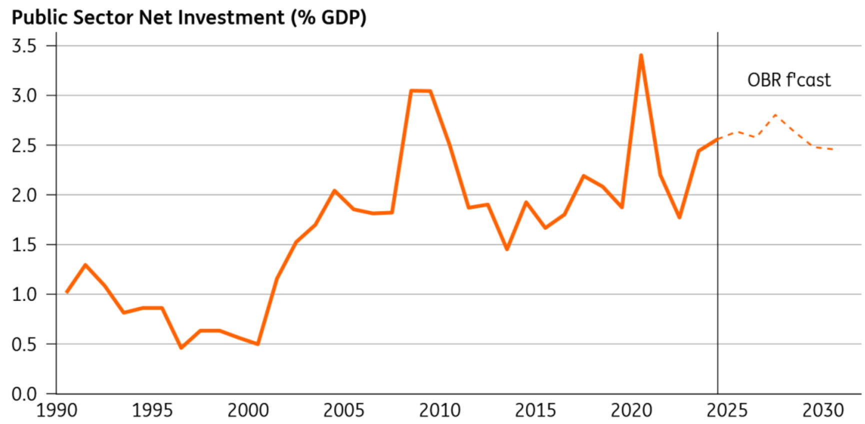
Don’t forget that everyone expected Starmer’s first budget to be dull. Then it ended up containing the biggest fiscal stimulus outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that’s difficult under a rule dictating that net financial debt must start falling within three years. But the word “financial” is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It’s why we’re hearing about new regional housing banks to finance social housing, or greater use of the National Wealth Fund to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

Public investment as a share of GDP



Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. Reports this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to Treasury calculations.

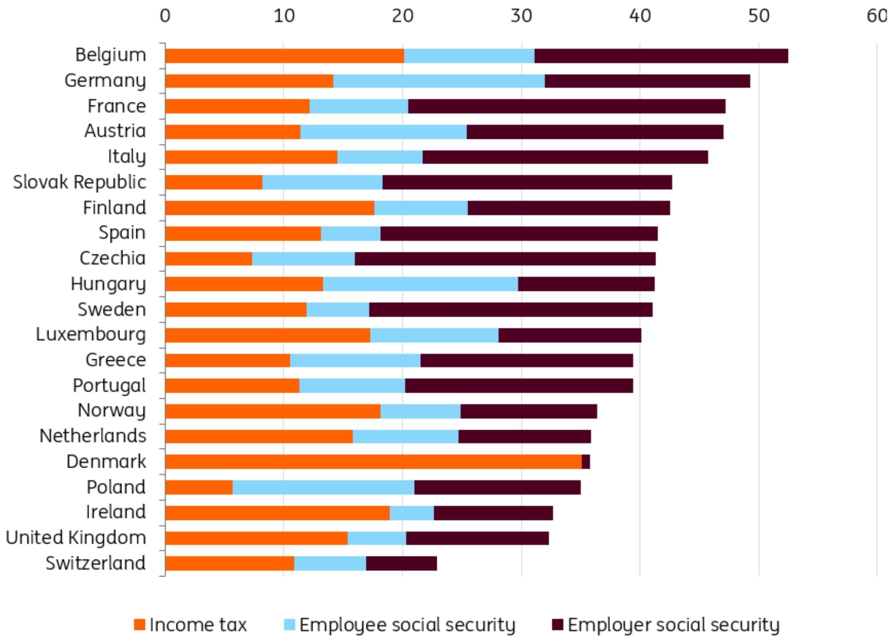
Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the Resolution Foundation's proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

Tax rates as a share of labour costs for a worker on an average salary (%)



Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

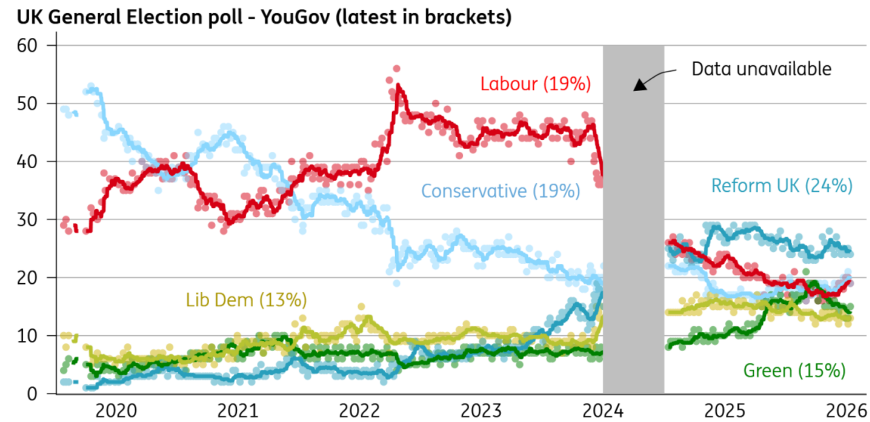
The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the polls suggest the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

Reform lead the UK's opinion polls



Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

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Article | 17 July 2026 KEY EVENTS

THINK Ahead: No football? Watch these market fixtures instead

Fill the World Cup-shaped hole in your diary with James Smith s guide to a hot summer in financial markets. From central banks to inflation, it s a line-up promising upsets and maybe even the occasional own goal...

No football? No problem. The weeks ahead are packed with market-moving events

Seven summer fixtures for markets

The World Cup is over. Well, it is for England anyway. And if, like me, you're still coming to terms with yet another World Cup disappointment, the BBC had some advice this week: Focus on the wins!

Not helpful if you're German or Dutch (there just weren't very many – sorry guys!). And perhaps best not to mention "there's always next time" to the Italians – for whom there hasn't been a next time for 12 years now...

Fortunately, markets have their own summer fixture list to fill the World Cup-shaped void. Central banks, data, politics: it's a line-up that promises upsets and, dare I say it, the occasional own goal...

20 July: Britain's new prime minister

The summer transfer window is open and Britain's getting a new prime minister on Monday. Disgruntled football fans aren't the only problem Andy Burnham inherits. Inflation is set to edge closer to 3.5% this summer, keeping borrowing costs elevated and chipping away at his fiscal wiggle room.

We don't know much about his plans for the Autumn Budget yet, but it's likely some of his bolder ambitions will get parked in favour of easier – and cheaper – initiatives on the cost of living. The knock-on effects for the Bank of England needn't be huge.

This is all fairly consensus now, speaking to investors recently. But British politics has taught us to expect the unexpected. A big budget can't be ruled out – and personally I don't think a snap election can, either.

23 July: European Central Bank decision

The ECB isn't one for surprises. And with less than a 10% chance of a rate hike priced in at next week's meeting, it's hard to see Frankfurt rocking the boat.

Yet energy prices, particularly gas, are dragging the ECB closer to its June base case again. Those forecasts envisaged core inflation above target for the foreseeable future, even with one further rate hike.

My colleague Carsten Brzeski argues there is a case for acting sooner rather than later. Still, a move in September is much more likely, and that's our base case.

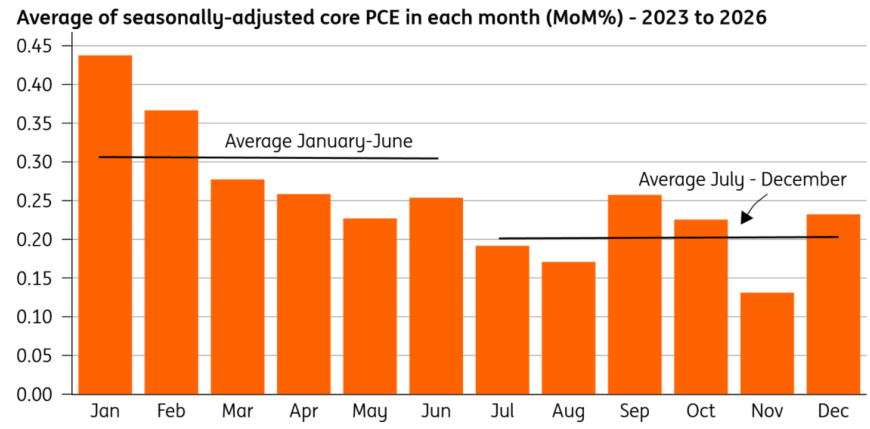
30 July: US core PCE inflation (and 12 August for CPI)

This week's US inflation figures were super benign. Core CPI was flat on the month for the first time since 2021. And it's well-timed; even prior Fed doves like Christopher Waller have been setting the scene for rate hikes.

One reading doesn't make a trend. Officials are clear that several months of better data are needed. And the Fed's preferred PCE inflation gauge could come in a tad hotter than CPI later this month, boosted by measurement differences for air fares, medical care and portfolio management fees.

Still, our man in the US, James Knightley, is optimistic. He sees four reasons why inflation should start to turn a corner: limited upside from gasoline prices (barring another big spike in crude), subdued wage growth, falling rental growth and the end of tariff inflation. I'd add a fifth: core PCE has repeatedly been softer in the second half of the year since 2023, hinting at lingering seasonality issues. Check out the chart below…

US core PCE inflation tends to be more benign later in the year



Source: Macrobond, ING

30 July: Bank of England decision

I think a rate hike is still unlikely this summer, even if inflation is still a worry. Officials said last summer that it's more problematic when headline inflation goes above 4%. And we're still some way off getting there. Plus, services inflation is set to edge lower next week. Private sector wage growth has further to fall, having already dipped below the 3.25% level the Bank says is consistent with a 2% inflation target over the longer term.

July's meeting may therefore look much like June's, when policymakers voted 7-2 to leave rates unchanged. I do not expect hikes this year and still think cuts will return in 2027.

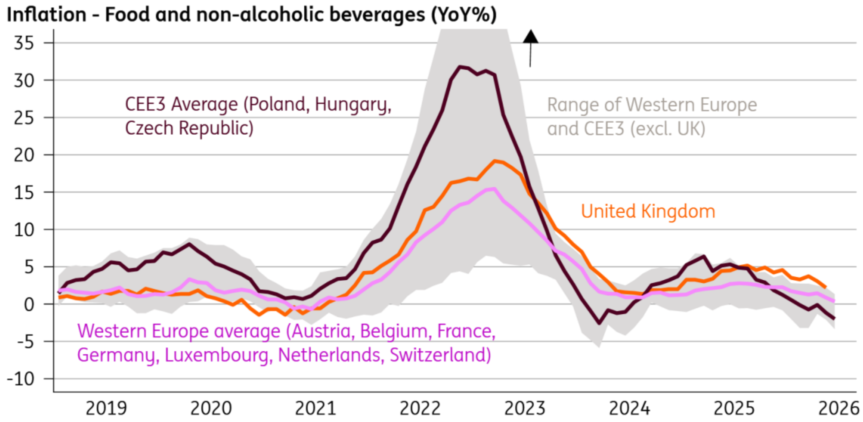
Seeing out the match rather than launching a fresh attack... Thomas Tuchel for Bank of England governor?

31 July: Eurozone inflation

Better-than-expected June inflation is another reason the ECB can afford to be patient this month. Energy is helping, but food inflation is a real surprise. It's below ECB forecasts, and remember this is where so-called second-round effects of higher energy prices are supposed to show up. They still might – this won't be settled for several months, but for now the news is promising.

The more pressing question is what happens to core inflation. The ECB expects it to edge up in the third quarter and it would presumably take both a meaningful downside surprise and lower geopolitical tensions to derail a September hike.

European food inflation has surprised lower



Source: Macrobond, ING

7 August: US jobs report

The whole reason the Fed is singularly focused on inflation right now is because the jobs market appears to have turned a corner. Yet it's a mixed picture. Last month's payrolls data featured big downward revisions. And some vacancy measures dispute the uptick we've seen in the official numbers.

Participation – the share of the workforce either employed or seeking work – has fallen, raising questions about why people are moving to the sidelines of the jobs market. That'll be a key question for the August decision.

That all said, James Knightley is tentatively looking for a 75,000 increase in July's payrolls. That's unlikely to rock the boat for the Fed.

27-29 August: Fed Jackson Hole conference (plus 29 July Fed meeting)

Kevin Warsh has been more hawkish than most expected. But is that because he genuinely thinks rates need to rise as nine of his colleagues did last month, or is it just tough talk to keep markets on his side? We suspect it's more likely the latter – the central bank equivalent of keeping possession and running down the clock (that one doesn't even make sense, does it?).

But Warsh's preference for saying little means we might not learn much more this summer. His big thing is abolishing forward guidance, though nobody seems to have told his colleagues. Last week's Fed minutes and a speech by Christopher Waller were both surprisingly clear about what the Fed needs to see to avoid a rate hike.

That means it's the data – particularly those inflation figures – that will do the talking. One inflation clean sheet is encouraging; two or three start to look like a winning streak. My US colleagues don't expect rate hikes this year.

THINK Ahead in developed markets

United States (James Knightley)

The Federal Reserve has entered its quiet period ahead of the July 29 FOMC meeting. Market expectations for a potential rate hike receded following the June CPI, PPI and Beige Book reports that all pointed to softer-than-anticipated inflation pressures. Pricing suggests just a 10% chance of a hike on 29 July, whereas before those inflation prints, it was seen as a coin toss. We continue to argue that lower energy prices, weak wage growth, slowing housing rents and a diminishing influence from tariffs will keep the disinflation trend in place and the Fed won't need to hike rates.

Next week's data calendar is also light, with home sales the most notable release. As such, markets will remain focused on Middle East developments and the price of oil, together with a heavy calendar of corporate earnings numbers, with several of the big tech companies set to report next week.

Eurozone (Bert Colijn/Carsten Brzeski)

- **European Central Bank (Thurs):** While we expect the ECB to stay on hold next week, a surprise hike should not entirely be ruled out. Read our full preview
- **Purchasing Managers Index (Fri):** Last month's PMI didn't fully incorporate the reopening of the Strait, but this month's will likely have already missed the most optimistic take on things. With the conflict flaring up again, immediate hopes of a swift reopening are thrown into uncertainty. This leaves a cautious view of the economy as the most likely outcome. Perhaps a bit more positive than last month, but the timing of answering the survey will remain key. Underlying, economic growth seems set for very muted growth in the short run. So no expectations of miracles yet.

United Kingdom (James Smith)

- **Jobs report (Tues):** The UK jobs market remains under pressure and recent payroll data has shown little sign of a turnaround, particularly in the embattled consumer services sector. Private sector pay growth is biased lower in the near-term as a result.
- **Inflation (Weds):** Lower petrol prices should help headline CPI nudge slightly lower. Services inflation is set to fall too. Inflation is set to rise in July as household energy bill hikes kick in, but we still expect it to peak below 3.5% this summer.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industrial production (Mon):** Even though the June manufacturing PMI disappointed, we still expect solid growth in industrial output. The calendar effect is more favourable, with one additional working day year-on-year, and the base effect is supportive, as June 2025 was particularly weak in several volatile manufacturing sectors. We forecast that PPI remained positive in annual terms after many quarters of deflation, although inflation likely moderated as producer price growth came to a standstill on a month-on-month basis in June.
- **Construction output (Mon):** Polish construction activity is catching up after a weak start to the year caused by adverse weather conditions. Combined with a favourable calendar effect and a strong investment pipeline for 2026, we would not be surprised to see another solid year-on-year increase in June. Civil engineering should continue to benefit from robust public investment, while growth in building construction may be somewhat constrained by the weak performance of residential construction, as this segment of the market appears oversupplied.
- **Wages & Employment (Mon):** Wage growth is generally moderating, but the higher number of working days likely pushed the annual growth rate slightly above the levels recorded in the previous two months. Even so, the cooling labour market and the absence of significant wage pressures following the strong increases in compensation seen over the past three years mean that wages are becoming less of a concern for monetary policy as a potential source of inflationary pressure. Employment in the enterprise sector continues to decline in annual terms, although we expect a seasonal increase in the number of jobs compared with May.
- **Retail sales (Wed):** Following the initial hit from the surge in petrol prices, consumer confidence has improved in recent months. As a result, we expect solid demand for durable goods. Recent volatility in retail sales has been driven by the timing of Easter-related purchases and fluctuations in fuel demand amid soaring oil prices. Following the mid-June announcement of measures aimed at containing retail fuel prices, including lower excise duties and VAT rates combined with a price cap, demand for fuel likely increased sharply in the second half of the month as motorists anticipated higher prices ahead. Indeed, fuel prices rose noticeably at the beginning of July.

Hungary (Peter Virovacz)

- **Base rate (Tue):** This time, there is no need to outsmart or overthink anything or anybody. National Bank of Hungary Governor Varga announced the 'mini rate-cut cycle' for the summer in June, and nothing we have seen so far has knocked the plan off course. Against this backdrop, we anticipate a 25bp reduction in the base rate, bringing it down to 5.75%. Looking ahead to the remainder of 2026, we forecast further easing, with three or four additional rate cuts following July's move.

Czech Republic (David Havrlant)

- **Consumer and business sentiment (Fri)**: Both consumer and business sentiment likely softened marginally in July, reflecting renewed geopolitical tensions in the Middle East, with significant implications for both energy prices and uncertainty. That said, Czech manufacturers and consumers have shown considerable resilience so far.

Turkey (Muhammet Mercan)

- **Central bank decision (Thur):** The policy outlook has shifted in recent days, both because of geopolitical tensions which have pushed oil prices above US$80/bbl, and a decision to gradually unwind a sliding scale tariff mechanism, which reduces the room to absorb the impact of higher oil prices, despite measured regulated price hikes. This backdrop will likely lead the central bank to be more cautious in easing liquidity conditions. We expect the policy rate and corridor structure to stay unchanged at the July MPC meeting and the bank to continue funding from the upper band of the corridor, in the near term.

Kazakhstan (Dmitry Dolgin)

- **Base rate (Fri):** We expect the National Bank of Kazakhstan to hold the policy rate at 17.00%, as, following the surprise cut in June, CPI showed no material decline and remained in double-digit territory at 10.3% YoY, while forward-looking indicators continue to warrant caution. The strength of the KZT remains a disinflationary factor, though declining state support for the local FX market is something to watch.

Key events in developed markets

Country	Time	Data/event	ING	Prev.
		Monday 20 July		
Canada	1330	Jun CPI (MoM%/YoY%)	-0.2/3.0	1/3.2
	1330	Jun Core CPI (YoY%)	2.3	2.2
		Tuesday 21 July		
UK	0700	May Unemployment Rate (%)	5.0	4.9
	0700	May Employment Change (000s)	80	100
	0700	May Average Weekly Earnings (3M YoY%)	4.5	4.4
	0700	May Average Weekly Earnings ex Bonus (3M YoY%)	3.4	3.4
		Wednesday 22 July		
UK	0700	Jun Core CPI (YoY%)	2.5	2.6
	0700	Jun CPI (MoM%/YoY%)	0.1/2.7	0.2/2.8
	0700	Jun Services CPI (YoY%)	3.5	3.7
		Thursday 23 July		
US	1330	Initial Jobless Claims (000s)	215	208
Eurozone	1315	ECB Rate Decision (%)	2.40	2.40
	1315	Jul ECB Deposit Rate (%)	2.25	2.25
	1500	Jul Consumer Confidence Flash	-16.5	-17.7
Canada	1330	May Retail Sales Final (MoM%)	1.3	0.5
		Friday 24 July		
US	1445	Jul S&P Global Manufacturing PMI Flash	-	53.9
	1445	Jul S&P Global Services PMI Flash	-	51.2
	1445	Jul S&P Global Composite PMI Flash	-	51.9
	1500	Jun New Home Sales (000)	620	580
Eurozone	0900	Jul HCOB Manufacturing PMI Flash	51.4	51.4
	0900	Jul HCOB Services PMI Flash	49.4	49.4
	0900	Jul HCOB Composite PMI Flash	50	50
Germany	0700	Aug GfK Consumer Sentiment	-28	-29.2
	0830	Jul HCOB Manufacturing PMI Flash	50.8	50.3
	0830	Jul HCOB Service PMI Flash	48.7	48.6
	0830	Jul HCOB Composite PMI Flash	49.7	49.5
France	0815	Jul HCOB Composite PMI Flash	-	47.2
	0815	Jul HCOB Manufacturing PMI Flash	-	51.2
	0815	Jul HCOB Services PMI Flash	-	46.8
UK	0700	Jun Retail Sales (MoM%/YoY%)	-/-	1.2/3.2
	0930	Jul S&P Global Composite PMI Flash	50.4	49.3
	0930	Jul S&P Global Manufacturing PMI Flash	52.0	52.5
	0930	Jul S&P Global Services PMI Flash	50.0	48.8
Sweden	0700	Jun Unemployment Rate	-	9.4

Source: Refinitiv, ING

Key events in Central and Eastern Europe

Country	Time (BST)	Data/event	ING	Prev.
		Monday 20 July		
Poland	0830	Jun Employment Growth (YoY%)	-0.8	-0.9
	0830	Jun Industrial Output (YoY%)	9.2	4.1
	0830	Jun PPI (YoY%)	-1.7	2.4
	0830	Jun Wages (YoY%)	6.5	5.8
		Tuesday 21 July		
Hungary	1300	Rate Decision (%)	5.75	6.00
		Wednesday 22 July		
Russia	1700	Jun Industrial Output (YoY%)	0.1	-0.7
Poland	0830	Jun Retail Sales (YoY%)	5	3
	1300	Jun M3 Money Supply (YoY%)	11.3	11
		Thursday 23 July		
Turkey	0800	Consumer Confidence	-	87.9
	1200	Rate Decision (%)	37	37
	1200	Jul Overnight Lending Rate (%)	40	40
	1200	Jul Overnight Borrowing Rate (%)	35.5	35.5
	1230	Gross FX Reserves (USD bn)	-	54.3
Poland	0830	Jun Unemployment Rate (%)	5.8	5.9
		Friday 24 July		
Czech Rep	0800	Jul Consumer Confidence	106.1	106.5
	0800	Jul Business Confidence	99.7	99.8
	0800	Jul Composite Confidence	100.9	101
Russia	1130	Rate Decision (%)	14.25	14.25
Hungary	0730	Jun Unemployment Rate (%)	4.3	4.3
Kazakhstan	0800	Rate Decision (%)	17.00	17.00

Source: Refinitiv, ING

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Article | 14 July 2026

UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve

US CPI for June was lower than expected and led by falling gasoline prices

2.6% **Annual rate of core inflation**

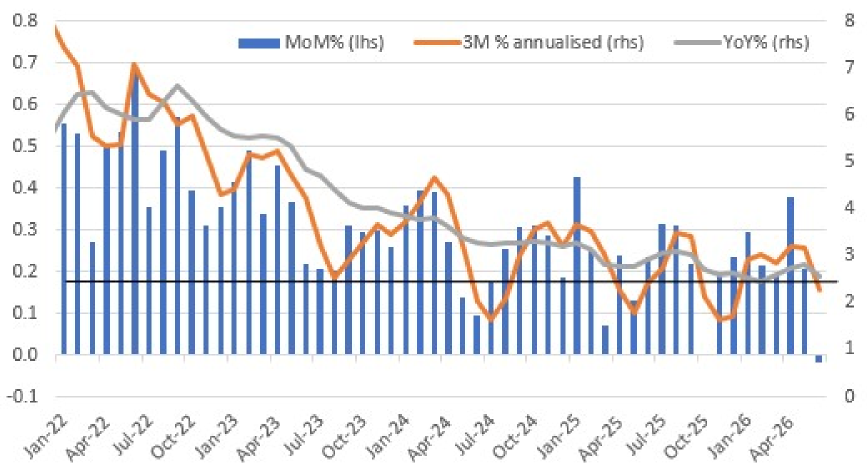
Lower than expected

US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have "no tolerance" for persistently high inflation, which really shouldn't be any new 'news' seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as 'forward guidance' given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at $80/bbl remains historically consistent with retail gasoline prices of around $3.75/gallon, below the current level of $3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn’t appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We’ve gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we’re increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday’s June data, the Treasury actually paid out $25.5bn more in IEEPA refunds than it received under all other tariffs. With perhaps another $80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead

Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

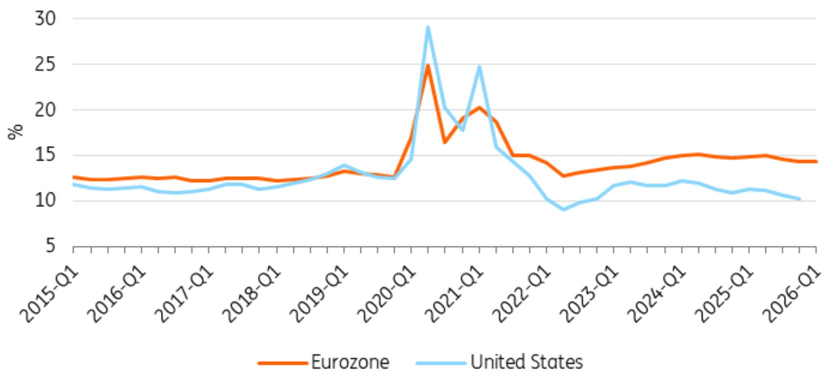
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the exception of 2021 this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In December, we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic thinking suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the Bank of England suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people (chart 6, by age). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

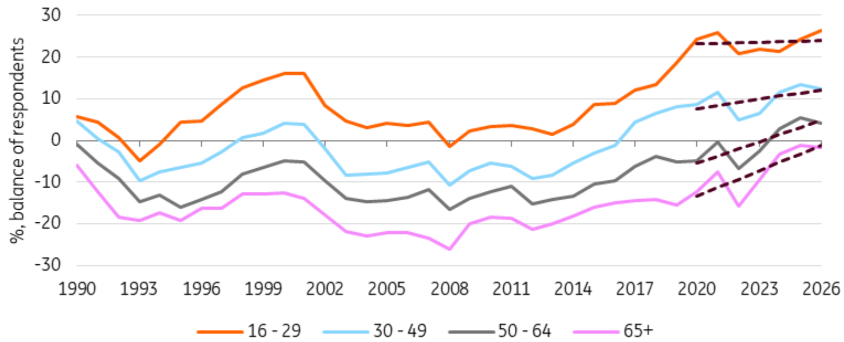
Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups (graph 6, by age group). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth held steady, reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

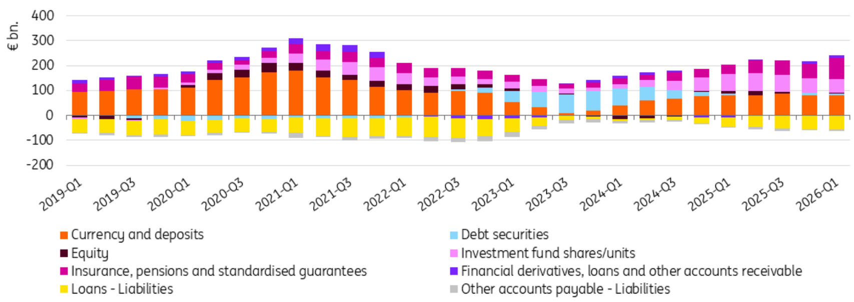
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

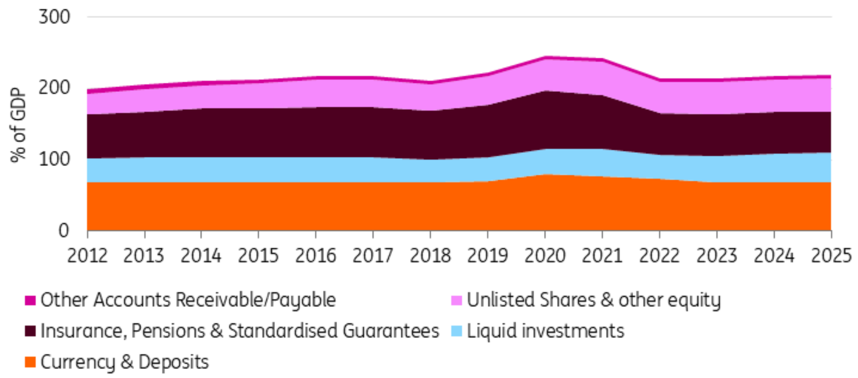
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market‑linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's pension reforms and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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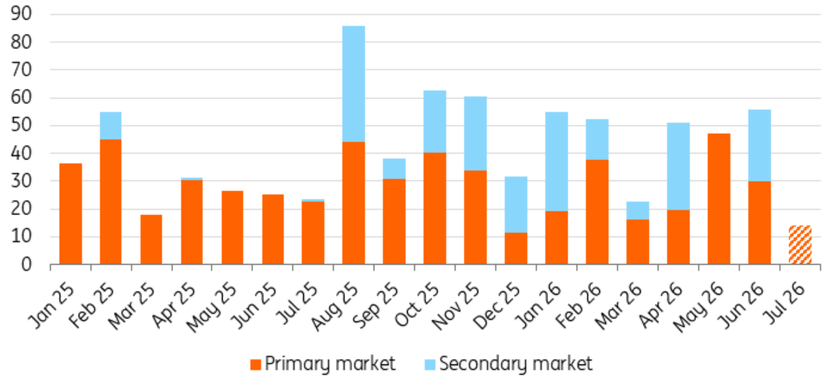
Article | 20 July 2026 CZECH REPUBLIC

Czech Finance Ministry cuts issuance as retail bonds deliver

The Ministry of Finance cut its 2026 Czech government bond issuance plan after strong retail bond demand. With only around CZK60bn of issuance left in CZGBs, second half 2026 supply looks light versus heavy CEE borrowing needs, supporting CZGB outperformance once focus returns to domestic fundamentals

On Friday, the Ministry of Finance (MinFin) published a mid-year update to its funding strategy, lowering its planned Czech government bond (CZGB) issuance. The key driver was the restart of retail bond issuance earlier this year, with stronger-than-expected demand generating CZK74bn. As a result, the indicated range for gross CZGB issuance was cut from CZK400-500bn to CZK270-370bn, which leads us to revise our issuance forecast lower.

Gross CZGBs issuance (CZKbn)



Source: Czech Ministry of Finance

The MinFin typically provides limited detail on its full financing mix, leaving it considerable flexibility in how it meets borrowing needs. For the rest of the year, we expect MinFin to rely heavily on T-bills, including euro-denominated issuance, as well as loans from supranational institutions such as the EIB and SAFE. Two more retail bond auctions are scheduled, though only one will contribute to this year's funding, as the second takes place at the end of December. We expect retail bond issuance to reach around CZK100bn this year and to become a permanent part of the MinFin's funding toolkit. This leads us to revise our gross CZGBs issuance forecast from CZK506bn to CZK394bn.

Based on our calculations, the MinFin has already covered 79% of our forecasted issuance and only around CZK83bn left this year. However, the final figure is likely to be higher, reflecting expected secondary-market activity and pre-financing for next year. Still, we believe the broader picture for CZGBs is positive, particularly in the context of sizeable borrowing needs across the CEE region. We therefore expect CZGBs to outperform regional peers once geopolitical concerns ease and the focus shifts back to domestic fundamentals given very low CZGBs supply in the second half of the year.

Financing needs for 2026 (CZKbn)

	MinFin	ING	Covered
State budget	310.0	310.0	
Transfers and other operations of state financial assets	3.6	3.6	
T-Bonds denominated in local currency redemptions	200.3	200.3	
T-Bonds denominated in foreign currency redemptions	0.0	0.0	
Redemptions and early redemptions on retail bonds	20.4	20.4	
T-Bills denominated in local currency redemptions	117.0	117.0	
T-Bills denominated in foreign currency redemptions	48.6	48.6	
Redemption of other money market instruments	11.9	11.9	
Repayments on credits and loans	26.4	26.4	
Total financing needs	**738.2**	**738.2**	
Money market instruments		117.0	21%
CZGBs issuance	270-370	396.4	79%
CZGBs EUR-denominated (incl. T-Bills)		48.6	
FX issuance		0.0	
Retail bonds		100.0	74%
Received credits and loans	Max. 76.2	76.2	
Financial asset and liquidity management		0.0	
Total financing sources		**738.2**	
Gross borrowing requirement		**738.2**	
Net CZGBs issuance		**196.1**	

Source: MinFin, ING estimates

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Article | 20 July 2026 POLAND

Strong June data boosts Poland’s growth outlook despite rising external risks

June's industry and construction data saw solid gains, with second-quarter momentum building despite both turmoil in the Middle East and higher oil prices. At the same time, wage and employment data reflects a balanced labour market contributing to disinflation. Still, renewed tensions in the Persian Gulf are adding a fresh layer of uncertainty

The economic impact of the US-Iran war has proven less severe than previously feared so far for Poland. We see upside risks to this year's GDP growth forecasts

Industry outperforming regional peers, but growth remains uneven

Poland’s industrial output increased by 7.6% year-on-year in June, up from 4.1% YoY in May. Domestic industry appears to be weathering global headwinds stemming from higher oil prices and mounting competitive pressure from Asia better than many of its European peers. At the same time, we see signs of a K-shaped rebound and an uneven recovery, with some manufacturing divisions performing well while others, including old export leaders, continue to struggle.

Strong growth was recorded in sectors reflecting expanding public investment and defence spending (e.g., machine repairs), export sectors like the manufacturing of other transport equipment (+24.9% YoY), paper and paper products (+19.0% YoY), and waste collection, treatment and disposal (+16.5% YoY). By contrast, output declined in the manufacture of tobacco products (-10.2% YoY), textiles (-7.0% YoY), and furniture (-2.5% YoY), while competitive pressure from Asian producers continues to intensify.

The June ceasefire between the US and Iran, and the resulting decline in oil and natural gas prices, eased pressure on producer prices last month. PPI inflation slowed to 1.7% YoY from 2.4% in May. Producer prices are no longer in deflation, but the return to positive inflation largely reflects the initial energy shock linked to the Gulf conflict, while some sectors continue to reflect disinflationary trends. The conditions deteriorated again in July, however, which may weigh on manufacturing performance in the coming months and push PPI inflation higher once more.

Construction up, driven by advanced public investment cycle and growing civil engineering

The construction output increased by 5.2% YoY in June, following a 3.9% YoY rise in May, as the sector continues to recover from adverse weather conditions at the beginning of the year that led to double-digit declines in production. The inflow of EU funds from the Recovery and Resilience Facility (RRF) and cohesion policy programmes is supporting public investment.

In June, we observed strong growth in infrastructure investment, with civil engineering output rising by 18.7% YoY. At the same time, specialised construction activities and building construction recorded declines. The latter most likely reflects weakness in residential construction, where an overhang of unsold dwellings remains close to 6 months of sales vs multi-year average at 3.

Nevertheless, 2Q26 brought a marked improvement in the construction sector, with output increasing by around 4.5% YoY following a sharp decline of 8.0% YoY in 1Q26. This suggests that investment activity gained momentum after a weak start to the year, although it likely remains more buoyant in the public sector than in the private sector.

Labour market showing signs of softening despite overall tightness

Wage growth remained below 6% YoY for the third consecutive month, reaching 5.9% YoY in June, while employment in the enterprise sector continued to decline (-0.9% YoY). Softer wage growth was particularly evident in services, including accommodation and food services, transport and logistics, and IT.

Wage pressures are easing, and business surveys indicate a decline in the share of companies planning wage increases, as well as smaller planned pay rises. Employees' bargaining power has weakened as labour demand has softened in some sectors.

Diminishing wage pressures would be welcomed by monetary policymakers, as the labour market is no longer a significant source of inflationary pressure. Wage growth is currently broadly consistent with core inflation stabilising around the central bank's target. The labour market is no longer pro-inflationary and may even contribute to easing inflation pressures going forward.

Bottom line

Despite the outbreak of conflict in the Middle East, this year's second quarter has turned out to be an improvement from the first for Polish industry and construction. Activity in retail trade and services was presumably softer than at the beginning of the year, but the overall picture emerging from the available data is positive nevertheless.

GDP growth, both in annual terms and on a seasonally adjusted quarter-on-quarter basis, was probably stronger in 2Q26 than in the previous quarter, posing upside risks to our 2026 growth forecast of 3.4%. Given the scale of the geopolitical risks involved, we maintain our cautious forecast. However, it appears that the negative impact of the conflict between the US and Iran (alongside the blockade of the Strait of Hormuz) on economic activity and inflation in Poland has been less severe than previously feared.

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Article | 20 July 2026 FX

FX Daily: Energy prices will keep dollar supported

It is a familiar theme now, but deteriorating news flow from the Gulf is keeping energy prices, short-dated yields and the dollar all relatively well bid. In fact, the dollar should probably be doing better than it is. In a relatively quiet week for data, expect investors to continue favouring energy-exporting currencies, including the dollar

Higher oil and natural gas prices are bringing continued support to currencies like the dollar and the Norwegian krone

USD: Dollar should be stronger

Events in the Gulf continue to re-escalate, pushing energy prices meaningfully higher. We are particularly focused on natural gas prices, which are now very close to their March highs again. And there is increasing focus on refined products, such as diesel, where higher prices can only add to fears of inflationary pressures being handed down global supply chains.

It is slightly surprising not to see the dollar a little stronger. The DXY dollar index is still about 1% off its June highs. This probably owes to last week's soft June US CPI and PPI data, which has taken some of the sting out of the hawkish Federal Reserve story. Markets now only price about 40bp of Fed easing over the next nine months compared to the 55-60bp of tightening priced for the eurozone and the UK. However, higher energy prices mean that the Fed will have to remain alert, and in this environment we struggle to see that any investors already owning dollars will be inclined to sell.

Instead, we can probably see pairs like USD/JPY push a little higher. It looks like Japanese authorities have opted not to intervene during today's Marine Day public holiday, and it would not be a surprise to see USD/JPY briefly break above 162.75/85 over coming sessions on the assumption that the Bank of Japan is a no-show on intervention.

It is a quiet week for US data, and away from the Gulf, the focus will be on big tech earnings again, where Alphabet reports tomorrow. Overall, we expect DXY to continue to find support near 100.50 and push back to the 101.30 area.

Chris Turner

EUR: Yield spreads give euro a brief reprieve

With Brent back above $90/bbl, we would have expected EUR/USD to be trading under 1.14. However, it may well be the tighter correlation between energy and short-dated euro swap rates that is proving a supportive factor for the euro. Here, as in March, higher energy prices have driven quite a sizeable narrowing in the EUR/USD two-year swap spreads. Two-year EUR swap rates are now trading at a new high for the year, while last week's US inflation data has left short-dated US rates off their highs.

We do favour EUR/USD moving back below 1.14 on these high energy prices, but we are cognisant of the risk of a surprise rate hike from the European Central Bank this Thursday. The macro team's view is that the ECB might take the opportunity of higher energy prices to get a second hike in earlier than September. That is more the risk than the baseline view, and instead, we suspect the run-up in energy prices can push EUR/USD back to 1.1380 this week.

Elsewhere, the high-yielding, energy-exporting Norwegian krone has come back bid after a little wobble last week. EUR/NOK losses can extend to the 10.95 area.

Chris Turner

GBP: Burnham enters office

Andy Burnham is set to succeed Keir Starmer as the UK Prime Minister later today. Sterling has been doing quite well recently on the view that Burnham will select a more fiscally responsible chancellor in the form of Shabana Mahmood – an announcement that will probably emerge today.

However, we think a larger part of sterling's strength owes to stale short sterling positioning, and we suspect some large M&A flows going through, where cheaper valuations have made UK equities an attractive proposition this year.

While we do not rule out a little further sterling strength during the Burnham honeymoon period, the UK's tight fiscal situation suggests a new cabinet will have to turn to tax increases if it wants to build out its plans to improve areas such as social care.

EUR/GBP has support at 0.8470, and 0.8400 might be the best-case for sterling this summer, but we would not chase the EUR/GBP move lower.

Chris Turner

CEE: Risk-off pressure dominates a light regional calendar

Market attention remains focused on the US-Iran conflict, with global sentiment still the main driver for CEE. The regional calendar is relatively light this week, with few releases likely to challenge the broader global narrative.

In Poland today, industrial output, wages and PPI may offer insight into the conflict's impact and whether a National Bank of Poland rate cut remains a realistic prospect, as recently suggested by the central bank governor.

In Turkey, inflation expectations will be the final key release before Thursday's Central Bank of Turkey meeting, where we expect rates to stay at 37% and funding to remain at the upper end of the corridor. The Hungarian central bank is very likely to cut rates by 25bp to 5.75%, as signalled by the governor at the previous meeting. Forward guidance will be key, particularly on whether recent FX pressure has shifted the bank's view.

Poland will also publish labour market data on Thursday, followed by Czech consumer confidence on Friday.

Following the latest escalation in the US-Iran conflict before the weekend, with no clear signs of de-escalation, risk-off sentiment is likely to persist this week and keep CEE assets under pressure. In FX, the forint has been hit hardest, reflecting crowded long positioning and the prospect of further central bank easing. EUR/HUF traded around 363 on Friday, close to post-election levels. We think the pair should peak around current levels, as the fundamental story remains unchanged, and the sell-off looks primarily like a positioning adjustment and profit-taking.

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Article | 20 July 2026

COMMODITIES DAILY

The Commodities Feed: Persian Gulf escalation pushes Brent above $90

With little sign of de-escalation in the Middle East, oil prices continue to move higher as vessel flows essentially grind to a halt

Source: Shutterstock

Energy - Speculators jump into oil amid renewed disruptions

ICE Brent broke above US$90/bbl this morning with no let-up in the escalation in the Persian Gulf. The US and Iran continue to exchange strikes, which are proving to be deadly for both sides. If this escalation goes unchecked, we could return to an environment of wide-scale attacks across the Persian Gulf. Vessel flows have essentially ground to a halt. LSEG data shows that only two outbound visible oil tankers transited the Strait of Hormuz, with no inbound traffic. Flows are essentially back to where they were before the Memorandum of Understanding (MoU).

Meanwhile, reports are that Iran told the Houthis in Yemen to essentially shut the Bab el-Mandeb Strait if the US attacks Iranian power infrastructure. This strait is important for vessel movements through the Red Sea. The Saudis have relied heavily on this route since the war began to bypass the Strait of Hormuz. If closure occurs, tankers would have to enter and exit the Red Sea via the Suez Canal. This would make Saudi oil exports to Asia a lengthier and costlier affair.

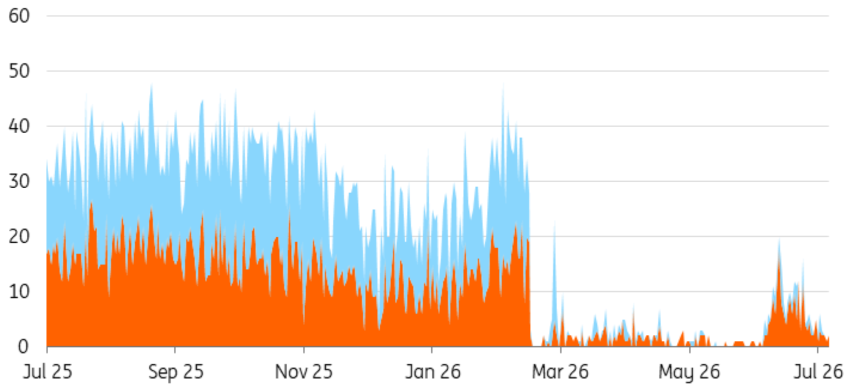
The issue for the oil market is that SPR releases, which have offered some relief during the war, are set to cease around the end of this month. This leaves the market relatively more vulnerable. Clearly, there's always the potential for SPRs to be tapped further. The US may be willing to do so, given that the 172m barrels it's in the process of releasing are structured as an exchange rather than a pure release. So, these barrels will be returned to the SPR plus interest in the form of additional supply.

Given the market moves in recent weeks, it's unsurprising to see speculators increase their net long in ICE Brent. They bought 114,752 lots over the last reporting week, leaving them with a net long of 169,839 lots as of last Tuesday. The move was driven predominantly by fresh longs entering the market. Meanwhile, speculators also increased their net long in ICE gasoil by 2,389 lots over the week to 71,875 lots. Given the recent move in the gasoil market, it's surprising that we have not seen more aggressive speculative buying, though this may be more evident in the next Commitment of Traders report.

The European gas market is seeing relatively more strength than oil this morning, with TTF up more than 5% and breaking above EUR60/MWh. The gas market is more vulnerable to these supply disruptions from the Middle East. The post-MoU rebound in vessel traffic made one thing clear: LNG flows lagged the recovery. If this latest flare-up follows the same pattern, any eventual resolution could again bring a slow LNG ramp-up — leaving the market exposed as we edge closer to the heating season. EU gas storage is less than 54% full vs. 64% last year and a five-year average of 69%.

On Friday, the European Commission announced its proposals for an overhaul of the Emissions Trading System (ETS). They include reducing the Linear Reduction Factor (LRF) for the emissions cap to 3.7% for 2031-2035 and to 1.7% for 2036-2040. This compares to a current LRF of 4.3%, which is set to rise to 4.4% starting in 2028. The proposal also includes increased free allowances for the period 2026-2030. The reduction of free allowances will be slowed, and the phase-out extended until 2038 for sectors covered by the Carbon Border Adjustment Mechanism (CBAM), starting in 2034. EUA prices were little changed on Friday, following the proposal, with much of it already priced in.

Strait of Hormuz visible oil tanker flows grind to a near halt



Source: LSEG, ING Research

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